

STANDARD OPERATING PROCEDURE

SOP 40-5 - Shrink & Spoilage

AUTHORITY: DeCA Manual 40-05.01

SUBJECT: Handling Damaged, Expired, or Unsalable Merchandise

1. Identification & Segregation

Any merchandise found damaged on the sales floor or receiving dock must be immediately removed and taken to the designated 'Reclamation Area' in the rear warehouse. It is the responsibility of all store personnel to identify and isolate unsalable goods to maintain store standards and customer safety.

2. System Write-Off Procedures (Shrink)

- The Inventory Lead must scan the barcode using the RF-HHT (Radio Frequency Handheld Terminal).
- Select disposition code 'D' (Damaged in Store) or 'T' (Damaged in Transit) depending on where the damage occurred.
- The Balance on Hand (BoH) must be reduced by the exact number of damaged units to ensure system accuracy and trigger correct replenishment orders.

3. Financial Accountability

Items damaged by contractor personnel during night stocking (Code C) will be documented and charged against the contractor's monthly performance invoice. Items damaged by patrons (Code P) or general wear and tear are absorbed as government loss.

4. Disposal Protocol

Once accounted for in the CAO system, expired or critically damaged goods must be disposed of in the locked dumpsters. Environmentally hazardous or special disposal items must follow local EPA and base guidelines.